An investment subject to such conditions is clearly unwise. It is a case of: "Heads, the common stockholder wins; tails, the preferred stockholder loses." One of the basic principles of investment is that the safety of a security with limited return must never rest primarily upon the future *expansion* of profits. If the investor is positive that this expansion will take place, he should obviously buy the common stock and participate in its profits. If, as must usually be the case, he cannot be so certain of future prosperity, then he should not expose his capital to a risk of loss (by buying the preferred stock) without compensating opportunities for enhancement.